WILLIAMS ECONOMIC CONSULTING

Alberta’s Capacity versus Income

Reading energy production, prices and timely indicators to understand—and anticipate—provincial growth

Central argument

Alberta’s physical output, the prices earned on that output and the broader provincial economy are linked—but they are not the same measure. A useful near-term assessment combines them with labour-market, business and activity indicators rather than relying on any single series.

Main finding. Growth remains the central scenario for 2026, but momentum is still heavily conditioned by energy volumes and project activity rather than a clear broadening beyond energy. The volume channel is supportive; the price channel is soft; the Alberta Activity Index is positive year-to-date but showed monthly softness in July. Published forecasts cluster in a 2.3–2.6% range. The combined public-data evidence does not yet show decisive non-energy broadening.

Economic commentary and public-data nowcasting framework

Prepared by Williams Economic Consulting · October 2026

Executive summary

Alberta can produce more oil while receiving lower prices for each barrel. That combination supports physical activity but can restrain revenue, margins, investment incentives and public royalties. Separating the volume channel from the price-and-income channel, then reading both alongside wider indicators, is therefore essential.

The latest annual evidence illustrates the distinction. The Alberta Energy Regulator reports crude oil and equivalent production rose 4% in 2025 to about 4.4 million barrels per day, while average WTI and Western Canadian Select (WCS) prices fell 14% and 12%. Alberta's real GDP still grew 2.7% in 2025 (Statistics Canada). Output in one sector is informative; it is not a substitute for economy-wide value added.

For 2026 the public-data picture is more constructive than a simple reading of 2025 prices would suggest, but it is not yet broad-based. Alberta's Activity Index rose 2.1% year-to-date through July despite a 0.7% monthly decline in July. Provincial and private-sector forecasts cluster around 2.3–2.6%. Energy production and major-project activity remain supportive; monthly activity softness, trade uncertainty, population moderation and oil-price volatility remain the main downside risks.

Takeaway for professionals. The central scenario is continued moderate growth. The open question is whether that growth is broadening beyond energy volumes and investment or remains concentrated there. Current public indicators lean toward the latter, but the next several monthly releases of the Activity Index, employment, manufacturing shipments and wholesale trade will be decisive.

1. Production is not income—and neither is GDP

For a single product, sales revenue is price × quantity. If quantity rises while the realized price falls, revenue may rise, fall or remain broadly unchanged depending on the relative size of each movement. The province-wide picture is more complex because GDP measures value added across many industries, not the sales value of oil and gas alone.

Alberta's energy sector has large direct and indirect links to construction, transportation, professional services, manufacturing, household spending and government revenue. Those links operate with different lags. Producers may sustain output through a price decline when existing wells remain productive or costs are low; investment and drilling can react later. Public royalties can change faster than physical production because royalty receipts depend on price, project economics and fiscal rules.

Three distinct questions should therefore be read separately:

1. **Is physical activity expanding?** Production, drilling, completions, hours worked and employment.
2. **Are the returns on that activity improving?** WTI, WCS, the differential, natural-gas prices, realized prices, costs and netbacks.
3. **Is the broader economy gaining momentum?** Alberta Activity Index, employment, wages, retail and wholesale trade, manufacturing shipments, housing starts and construction.

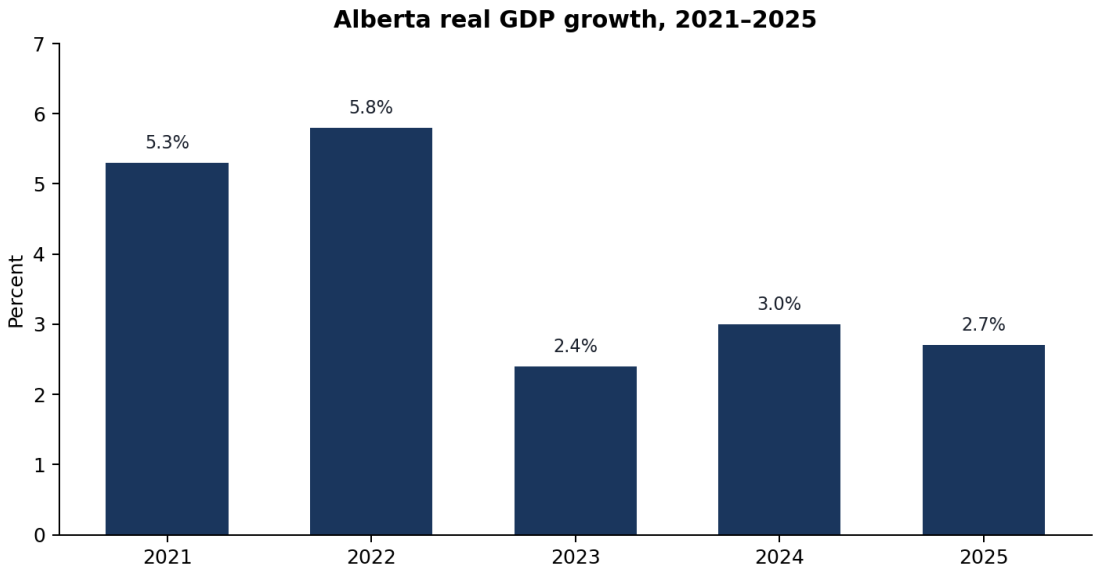


Figure 1. Alberta real GDP growth, 2021–2025. Source: Statistics Canada, Gross domestic product by industry: Provinces and territories, 2025 (released 1 May 2026), Table 1.

2. The 2025 energy pattern: more output, lower prices

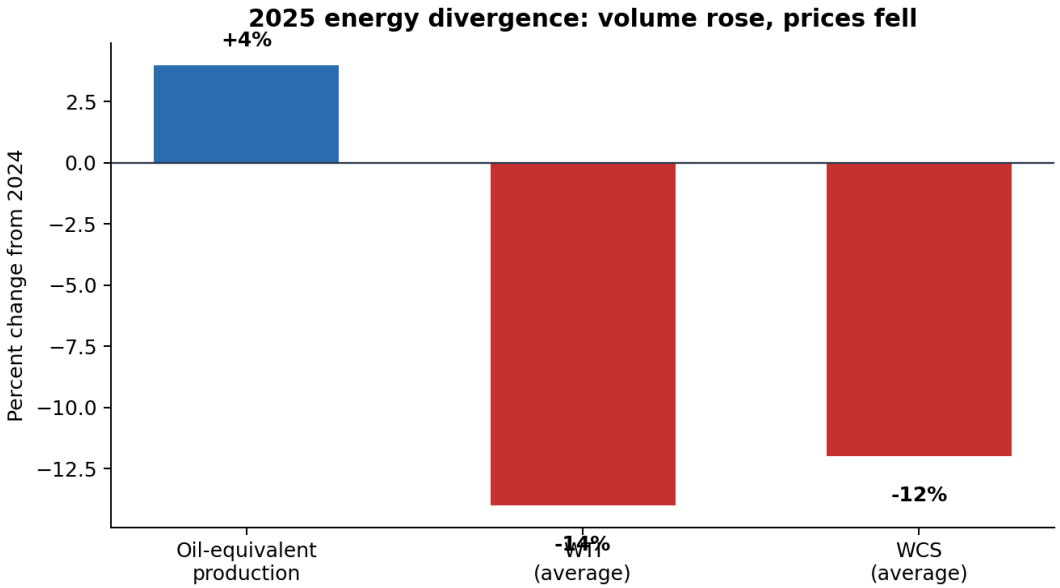


Figure 2. 2025 energy divergence. Sources: Alberta Energy Regulator, 2026 Alberta Energy Outlook (ST98).

In 2025 the volume channel and the price channel moved in opposite directions. Production rose 4% while benchmark prices fell double-digits. Energy capital expenditure still edged higher (to $32.4 billion). This is the concrete illustration of the central argument: physical capacity can expand while the income generated by that capacity contracts. The same year Alberta real GDP grew 2.7%. The growth rate is lower than the 2021–22 recovery years, consistent with a mixed volume-price environment, but it remained positive.

3. Indicator dashboard and near-term reading

A useful public-data assessment does not require a bespoke econometric model. It does require a disciplined reading of the latest observations, their direction, their implications and their limitations.

Indicator	Latest	Direction	Implication
Oil + equiv. production (2025)	+4% to ~4.4M b/d	Supportive (volume)	Capacity expanding
WTI average (2025)	–14% to US$64.84	Soft (price)	Income & royalty pressure
WCS average (2025)	–12% to US$53.70	Soft (price)	Income & royalty pressure
AAX YTD (Jul 2026)	+2.1%	Supportive (YTD)	Broader activity still positive
AAX monthly (Jul 2026)	–0.7% m/m	Soft (monthly)	Recent breadth softened
Provincial GDP forecast 2026	2.3%	Moderate growth	Central scenario
ATB Economics 2026	2.6%	Moderate growth	Slightly stronger scenario
TD Economics 2026	2.3%	Moderate growth	Aligned with provincial

Sources: AER; Government of Alberta; ATB Economics; TD Economics; Statistics Canada. Forecasts are the most recent published outlooks available at time of writing.

Combined assessment. Volume and project activity remain supportive. Price and income conditions are soft relative to recent peaks. The Activity Index is still positive on a year-to-date basis but showed monthly softening in July. Published forecasts cluster tightly around 2.3–2.6%. The evidence does **not** yet demonstrate clear broadening of momentum beyond energy volumes and investment. Employment, manufacturing shipments, wholesale trade and housing starts will be the decisive monthly indicators for that question.

4. A practical monitoring sequence

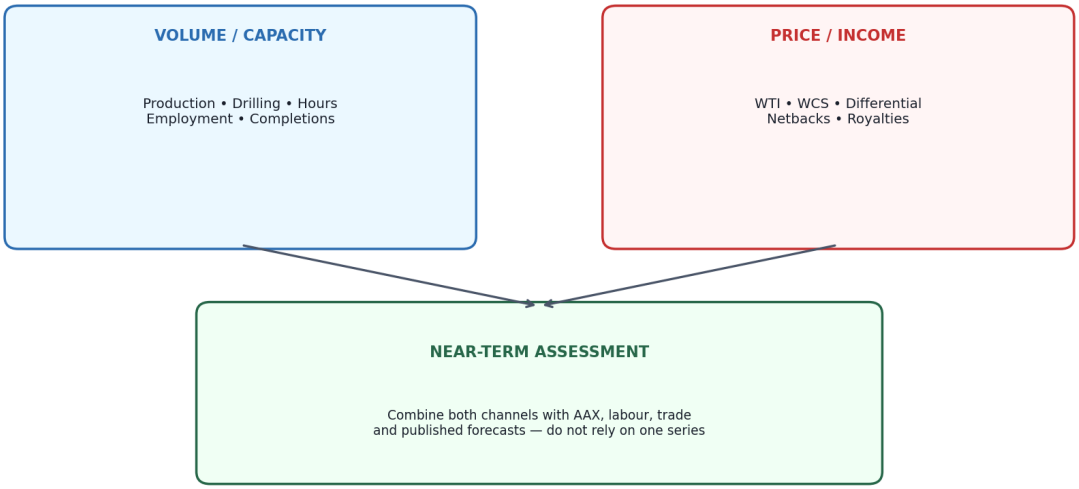


Figure 3. Capacity (volume) and income (price) channels must be read together with broader activity indicators.

A practical monthly sequence is: (1) collect the latest AAX, labour, trade, housing and energy releases; (2) classify direction, breadth, surprises and revisions; (3) compare against the provincial outlook, private forecasts (ATB, TD and others) and the historical pattern of volume-versus-price years; (4) update the central scenario and the main risks. Established Canadian research (Chernis, Cheung & Velasco, Bank of Canada) shows that formal mixed-frequency models can improve provincial nowcasts when evaluated in true pseudo-real time. The present note stays within a transparent public-data framework; the same discipline about information sets applies.

5. Risks and what would change the reading

Downside risks: further sustained decline in oil prices, renewed trade disruption, weaker U.S. demand, or broader deterioration in employment and business indicators. Upside risks: recovery in realized prices, faster non-energy investment, or stronger-than-expected household spending.

What would change the current assessment: several consecutive months of rising AAX together with firm employment and manufacturing would support a “broadening” narrative; a renewed drop in production or sharp further price decline would raise the probability of growth undershooting the 2.3–2.6% cluster; large revisions to the annual GDP series or Activity Index methodology would require re-evaluation of the historical baseline.

Conclusion

Alberta’s capacity and the income earned on that capacity are related but distinct. In 2025 the distinction was concrete: production rose while prices fell, and provincial real GDP still expanded 2.7%. For 2026 the central scenario remains moderate growth, supported by volumes and projects, tempered by soft prices and recent monthly softness in the Activity Index.

The open analytical question is whether growth is broadening beyond energy. Current public indicators lean against a decisive broadening claim. The next several monthly releases will decide whether that assessment holds or needs revision. A transparent, indicator-by-indicator reading—updated as new data arrive—remains more useful than any single series or any single published forecast.

Data and methodology note

All growth rates for 2021–2025 are taken from Statistics Canada’s May 2026 release of provincial GDP by industry (Table 1). Production and price figures for 2025 are from the Alberta Energy Regulator’s 2026 Alberta Energy Outlook and related tables. The Alberta Activity Index readings are as published by Alberta Treasury Board and Finance. Forecast figures are the most recent published outlooks available from the Government of Alberta, ATB Economics and TD Economics at the time of writing; readers should verify against subsequent releases. No estimated econometric model is presented. The contribution is a disciplined public-data synthesis organized around the capacity-versus-income distinction.

Sources

1. Statistics Canada, *Gross domestic product by industry: Provinces and territories, 2025*, released 1 May 2026.
2. Alberta Energy Regulator, *2026 Alberta Energy Outlook* (ST98) and Prices & Capital Expenditure tables.
3. Government of Alberta, Alberta Activity Index and Budget / economic outlook publications.
4. ATB Economics, economic outlook (most recent available at time of writing).
5. TD Economics, provincial economic forecasts.
6. Chernis, T., Cheung, C. & Velasco, G. (2017/2020), “A Three-Frequency Dynamic Factor Model for Nowcasting Canadian Provincial GDP Growth,” Bank of Canada Staff Discussion Paper 2017-8 / *International Journal of Forecasting*.

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